Cambridge International AS & A Level

ECONOMICS

Paper 4 A Level Data Response and Essays **Practice Paper 2026**

MARK SCHEME

Maximum Mark: 60

(Moderate Level)

This document consists of 14 printed pages.

Generic Marking Principles

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptions for a question. Each question paper and mark scheme will also comply with these marking principles.

GENERIC MARKING PRINCIPLE 1:

Marks must be awarded in line with the specific content of the mark scheme or the generic level descriptors for the question, the specific skills defined in the mark scheme, and the standard of response required by a candidate as exemplified by the standardisation scripts.

GENERIC MARKING PRINCIPLE 2:

Marks awarded are always whole marks (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3:

Marks must be awarded positively: marks are awarded for correct/valid answers. Marks are not deducted for errors or omissions. Credit is given for valid answers which go beyond the scope of the syllabus and mark scheme.

GENERIC MARKING PRINCIPLE 4:

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

GENERIC MARKING PRINCIPLE 5:

Marks should be awarded using the full range of marks defined in the mark scheme for the question.

GENERIC MARKING PRINCIPLE 6:

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

Assessment objectives

AO1 Knowledge and understanding

• Show knowledge of syllabus content, recalling facts, formulae and definitions.
• Demonstrate understanding of syllabus content, giving appropriate explanations and examples.
• Apply knowledge and understanding to economic information using written, numerical and diagrammatic forms.

AO2 Analysis

• Examine economic issues and relationships, using relevant economic concepts, theories and information.
• Select, interpret and organise economic information in written, numerical and diagrammatic form.
• Use economic information to recognise patterns, relationships, causes and effects.
• Explain the impacts and consequences of changes in economic variables.

AO3 Evaluation

• Recognise assumptions and limitations of economic information and models.
• Assess economic information and the strengths and weaknesses of arguments.
• Recognise that some economic decisions involve consideration of factors such as priorities and value judgements.
• Communicate reasoned judgements, conclusions and decisions, based on the arguments.

Table A: AO1 Knowledge and understanding and AO2 Analysis

Use this table to give marks for each candidate response for AO1 Knowledge and understanding and AO2 Analysis for Questions 2, 3, 4 and 5.

Level	Description	Marks
3	• A detailed knowledge and understanding of relevant economic concepts is included, using relevant explanations su • The response clearly addresses the requirements of the question and explains economic issues, and fully develops • Analysis is developed and detailed and makes accurate and relevant use of economic concepts and theories. Wher • Responses are well-organised, well-focused and presented in a logical and coherent manner.	11–14
2	• Knowledge and understanding of some relevant economic concepts is included, using explanations and examples t • The response addresses the general theme of the question with limited development. • Analysis is generally accurate with some development but little detail. Use of analytical tools is partially accurate or • Responses are generally logical and coherent but are sometimes lacking in focus or organisation.	6–10
1	• A small number of relevant knowledge points are included and the response is limited by significant errors or omissi • The response has little relevance to the question. • Analysis where provided is largely descriptive. Use of analytical tools such as diagrams and formulae, where necess • Responses show limited organisation of economic ideas.	1–5
0	No creditable response.	0

Table B: AO3 Evaluation

Use this table to give marks for each candidate response for AO3 Evaluation for Questions 2, 3, 4 and 5.

Level	Description	Marks
2	• Provides a justified conclusion or judgement that addresses the specific requirements of the question. • Makes developed, reasoned and well-supported evaluative comment(s).	4–6
1	• Provides a vague or general conclusion or judgement in relation to the question. • Makes simple evaluative comment(s) with no development and little supporting evidence.	1–3
0	No creditable response.	0

Question	Answer	Marks
1(a)	**Explain the significance of measuring GDP per capita to assess living standards.** GDP per capita is the total output divided by the population (1). It allows for a per-person measure of average income/output (1). It is useful for international comparisons between countries with different population sizes (1). Changes in GDP per capita indicate whether average material living standards are rising or falling (1). *Award up to 3 marks.*	3

Question	Answer	Marks
1(b)	**Explain one possible benefit of foreign direct investment to a host country and one possible cost of foreign direct investment to a host country.** **Benefit (1) + Development (1):** e.g. transfer of technology / increased employment / inflow of capital / training of workers / increased tax revenue / improved infrastructure / boost to exports. **Cost (1) + Development (1):** e.g. profit repatriation reduces national income / dependence on foreign firms / environmental degradation / exploitation of cheap labour / displacement of local producers / loss of cultural identity. *Max 2 marks for benefit; Max 2 marks for cost.*	4

Question	Answer	Marks
1(c)	**Describe how the market structure of the textile and garment industry in Vietnam is likely to differ from the market structure of the electronics assembly sector.** **Textile/garment industry: monopolistic competition (1)** – many sellers (1), differentiated products with some branding (1), low barriers to entry/exit (1), each firm is a price-maker on a small scale (1), normal profits in long run (1). *Max 3 marks.* **Electronics assembly: oligopoly (1)** – few large firms / dominated by fewer than ten firms (1), high barriers to entry (1), interdependent decision-making (1), product differentiation through branding (1), potential for collusion (1). *Max 3 marks.* *Market structure must be correctly identified to earn explanation marks.*	6

Question	Answer	Marks
1(d)	**Use the article to evaluate the impact of the growth of the manufacturing sector on the standard of living in Vietnam.** **Definition of standard of living:** material/monetary (1) and non-material/non-monetary (1). *Max 2.* **Data interpretation (Max 4):** **Improvement in SoL:** Real GDP per capita more than doubled from $1684 to $3694 (1); poverty rate fell from 16.8% to under 5% (1); life expectancy rose from 74 to 76 years (1); manufacturing employment rose / wages doubled from $150 to $320 (1). *Max 2.* **Reduction in SoL:** air pollution exceeding WHO thresholds (1); industrial waste damaging freshwater fish stocks (1); rapid urbanisation creating congestion / housing pressures (1); wages still only one-third of China's (1). *Max 2.* **Conclusion (1):** The data shows a mixed picture; rising income indicators suggest material standards have clearly improved, but environmental and health costs limit the gain in overall well-being. A fuller judgement would require wider data on inequality, education and access to healthcare.	7

Section B

Question	Answer	Marks
2	**Air pollution from factory production causes harm to local communities. Evaluate, with the help of diagram(s), two policies that a government may use to reduce the market failure caused by negative production externalities.** **AO1 Knowledge and understanding and AO2 Analysis (out of 14)** • Definition of negative production externalities: third-party costs imposed by producers, where MSC > MPC. • Definition of market failure and allocative inefficiency in this context. • A clearly labelled diagram showing MSC, MPC, MSB, the free-market output Qm, the socially optimal output Q*, and the welfare loss triangle. • Discussion of at least **two** policies: – Indirect taxes (Pigouvian tax) shifting MPC upwards to align with MSC. – Tradeable pollution permits / cap-and-trade schemes. – Regulation/legislation on emission standards. – Subsidies for cleaner production technologies. • Diagram(s) should be referenced in the written analysis. **AO3 Evaluation (out of 6)** • Difficulty of measuring the precise monetary value of the externality – information failure. • Taxes may be passed on to consumers if demand is inelastic – limited reduction in output. • Permits require effective monitoring; risk of regulatory capture. • Regulation can be costly to enforce and may stifle innovation. • Subsidies have opportunity cost. • Effectiveness depends on PED, PES and government competence. • Reasoned conclusion: best policy depends on context, with a mix of instruments often most effective. *Accept all valid responses.*	20

Question	Answer	Marks
3	**A pharmaceutical company is the sole supplier of a life-saving medicine in its country. Assess whether the existence of a monopoly is always against the interests of consumers.** **AO1 Knowledge and understanding and AO2 Analysis (out of 14)** • Definition of monopoly: single seller, high barriers to entry, price-maker, downward-sloping demand curve. • Diagram comparing monopoly equilibrium (MC = MR, P > MC) with perfect competition (P = MC). • Identification of allocative inefficiency (P > MC) and productive inefficiency (output not at minimum AC). • Welfare loss (deadweight loss) triangle shown. • Counter-points: economies of scale lowering long-run AC, possible dynamic efficiency through R&D, cross-subsidisation, natural monopoly arguments. **AO3 Evaluation (out of 6)** • A monopoly with significant EoS may produce at lower AC than several competing firms – consumers may pay less. • High abnormal profits can fund innovation – dynamic efficiency benefits consumers over time (pharmaceutical example). • Natural monopolies avoid wasteful duplication (water, rail). • Price discrimination can increase consumer access (e.g. tiered pricing for drugs in poorer countries). • However: X-inefficiency, restricted output, exploitation through high price, reduced consumer choice. • Government regulation (price caps, competition authorities) can mitigate harm. • Reasoned conclusion: monopoly is not *always* against consumers' interests, depending on the cost structure, regulation, and innovation incentives. *Accept all valid responses.*	20

Section C

Question	Answer	Marks
4	**Evaluate the use of fiscal policy as a means of achieving the macroeconomic aims of a country.** **AO1 Knowledge and understanding and AO2 Analysis (out of 14)** • Definition of fiscal policy: government use of taxation and government spending to influence aggregate demand. • Distinction between expansionary and contractionary fiscal policy. • Identification of macroeconomic aims: economic growth, low inflation, low unemployment, balance of payments stability, redistribution. • AD/AS diagram showing the effect of an increase in G or a cut in T shifting AD to the right. • Use of the multiplier (k = 1/(1-MPC) or k = 1/MPW) to explain the magnified effect on national income. • Effect on each macroeconomic objective: – Growth: AD rises, real output increases. – Employment: derived demand for labour rises. – Inflation: demand-pull inflation if economy near full capacity. – Balance of payments: higher income may worsen current account. **AO3 Evaluation (out of 6)** • Time lags – recognition, decision, implementation, impact lags. • Size of multiplier depends on leakages – may be small in open economies. • Crowding out of private investment when government borrows. • Conflict between objectives – stimulating growth may worsen inflation/BoP. • Political constraints / sustainability of public debt. • Effectiveness depends on the position of the economy on AS curve. • Comparison with monetary policy and supply-side policy. • Reasoned conclusion based on the arguments presented. *Accept all valid responses.*	20

Question	Answer	Marks
5	**Evaluate whether economic growth is always desirable for a country.** **AO1 Knowledge and understanding and AO2 Analysis (out of 14)** • Definition of economic growth: increase in real GDP / real GDP per capita over time. Distinction between actual and potential growth. • Causes of growth: increases in factors of production, productivity, technology – shown on a PPC or LRAS shift. • Benefits of growth: – Higher average incomes and material living standards. – Higher employment. – Greater tax revenue allowing improved public services. – Reduction in absolute poverty. • Costs of growth: – Negative externalities: pollution, congestion, resource depletion. – Inflationary pressure if demand-led. – Widening income inequality. – Worsening current account if import demand rises. – Loss of cultural identity / urbanisation pressures. **AO3 Evaluation (out of 6)** • Depends on *type* of growth – export-led vs consumption-led; resource-driven vs productivity-driven. • Depends on *distribution* of the gains – growth that benefits only the rich may not improve overall welfare. • Sustainability concerns – non-renewable resource use; consideration of "green" growth. • Short-run vs long-run effects. • HDI, Gini coefficient, and Genuine Progress Indicator as alternatives to GDP. • Reasoned conclusion: growth is generally desirable but conditional on its nature, distribution and sustainability. *Accept all valid responses.*	20